



INCLUSIVE ZONE

SUBSIDIES	SPENDING ON PRO-POOR POLICIES
Food	Rs 24,204 cr
Fertiliser	Rs 22,452 cr
Petroleum	Rs 2,785 cr
Interest	Rs 2,805 cr
Grants to NAFED	Rs 260 cr
Total	Rs 53,463 cr*

% of total tax mop-up 14.2%
 *Plus, Rs 47,000 cr was allocated to pro-poor schemes over 2005-06, but spend on pro-poor policies rose only 12.5%.
 Source: Budget Documents. All figures for 2006-07

SCALE

GLOBAL CHIEFTAINS

CHARLES PRINCE	CITIGROUP	Rs 103.90 cr
RUPERT MURDOCH	NEWS CORPORATION	Rs 103.63 cr
JEFF IMMELT	GE	Rs 71.45 cr
INDIRA NOOYI	PEPSICO	Rs 37.50 cr
ARUN SARIN	VODAFONE	Rs 20.04 cr

ptions. Source: Annual reports for 2005-06, company websites

INEQUITABLE TAXES

► You have to wait three years to get the indexation relief on the tax on capital gains from the sale of a house. If sold sooner, income-tax of 10-30 per cent applies to the profits made. But returns from investments in shares become tax free after just 12 months. They attract the 10 per cent short-term capital gains tax before that.

► Dividend tax isn't proportional to the payout received. Its burden is borne as much by small shareholders as the promoters since companies rather than receivers are taxed. In 2006-07, the top 1,100 companies paid Rs 40,000 crore in dividends—a third of which was handed tax-free to promoters.

► The number of Indian *Forbes* billionaires—undoubtedly the biggest beneficiaries from the economic growth—has shot up to 36 since 2005. Their 'in-your-face' spending has the PM frowning but not the taxman—a paltry Rs 265 crore was paid in wealth tax in 2006-07.

share market need to wait just 12 months to make their capital gains tax-free or pay just 10 per cent short-term capital gains tax. Worse, those who slog 30 days a month are taxed at 10-30 per cent depending on their level of income while the 10 per cent capital gains tax on speculation has spawned a community of day traders. Manmohan may be tempted to ask at his next outing if speculation should be encouraged as an occupation. He may as well ask if the discrimination against home owners is in line with the concept of equitable growth.

That's not all. Dividends are tax-free at the hands of the recipient as the tax is deducted at source from the company. This was done ostensibly to simplify collection. The result is the big-ticket shareholders like promoters of mega corps have not only walked away with tax-free cash but also have spread their tax liability across small shareholders. In three years of the UPA regime, promoters have collected a cool Rs 14,000 crore in tax-free income as dividend. The prime minister also spoke about the rise in the number of Indian dollar-billionaires. The *Forbes* billionaire list now has 36 Indians compared to 26 last year. So how much wealth tax was collected last year? Rs 265 crore and the mop-up budgeted for next year is Rs 315 crore.

Governments are supposed to be pro-markets but the UPA is pro-business. The prime minister knows "cartels are a crime and go against the grain of an open economy." He said, "If a liberalised economy has to succeed, we must give full play to competitive forces and the private sector should show self-restraint in this regard." The question he needs to ask is why even after three years his government has not got the Competition Commission going? That the finance minister is openly battling cement and steel manufacturers is perhaps the most eloquent testimony of the hapless state of this regime.

Commenting on the consequence of iniquitous economic policy is the easy part which politician Manmohan seized on. Reformist Manmohan knows the cause and corrective measures. Now he needs to muster the courage to act.

with Puja Mehra